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UNITED STATES BANKRUPTCY COURT

DISTRICT OF ARIZONA

In re: EXAMPLE DESERT HOLDINGS, LLC, *Debtor.*	Chapter 11 Case No. 2:26-bk-00000
EXAMPLE TRUSTEE, *Plaintiff,* v. EXAMPLE LENDER BANK, N.A., *Defendant.*	Adv. No. 2:26-ap-00000 **DEFENDANT'S MOTION TO DISMISS ADVERSARY COMPLAINT AND MEMORANDUM OF POINTS AND AUTHORITIES** Seeks dismissal of the adversary complaint under Fed. R. Civ. P. 12(b)(6), made applicable by Fed. R. Bankr. P. 7012(b). Hearing date: November 20, 2026 Time: 10:00 a.m. Place: Courtroom to be assigned by the Court

Defendant Example Lender Bank, N.A. ("Defendant") moves under Fed. R. Civ. P. 12(b)(6), made applicable by Fed. R. Bankr. P. 7012(b), to dismiss the Complaint to Avoid and Recover Transfers and for Declaratory Relief (the "Complaint") filed by Plaintiff. The Complaint does not allege facts that, if true, would show that any transfer was made within the preference period while the Debtor was insolvent, or that Defendant received more

than it would have received in a chapter 7 liquidation. This Motion is supported by the following Memorandum of Points and Authorities.

MEMORANDUM OF POINTS AND AUTHORITIES

I. Introduction

The Complaint asks the Court to avoid four payments that the Debtor made to Defendant under a revolving credit facility, and to recover their value. Both of its claims rest on one conclusion: that each payment was made while the Debtor was insolvent and on account of an antecedent debt. The Complaint pleads that conclusion and little else. It does not allege the Debtor's balance sheet on any date, the value of the collateral that secured the facility, or the amount Defendant would have received in a liquidation.

The Court should dismiss the Complaint. Its allegations, accepted as true, are the kind of "labels and conclusions" that do not state a claim to relief that is plausible on its face. *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007).

II. Background

The Complaint alleges that the Debtor borrowed from Defendant under a revolving credit facility beginning in 2022, that the Debtor defaulted in its monthly interest payments in 2026, and that during the ninety days before the petition date the Debtor made four payments to Defendant totaling $412,500.00. Compl. ¶¶ 9–11.[1] It alleges that the Debtor was insolvent during that period. Compl. ¶ 12. It does not plead facts supporting that conclusion.

Plaintiff sent a written demand before filing suit. Compl. ¶ 14. Defendant did not return the payments. *Id.*

[1] Paragraph numbers are those of the Complaint as filed. The petition date is stated in the Complaint's caption.

III. Legal Standard

A complaint must contain "enough facts to state a claim to relief that is plausible on its face." *Twombly*, 550 U.S. at 570. A claim is facially plausible when the pleaded facts allow the Court to draw the reasonable inference that the defendant is liable for the misconduct alleged. *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). The Court accepts well-pleaded facts as true. It does not accept legal conclusions stated as facts.

Under Fed. R. Bankr. P. 7008(a), a complaint must also state whether the pleader consents to the entry of final orders by the bankruptcy court. The Complaint states that Plaintiff does not consent. Compl. ¶ 4.

IV. Argument

A. The Complaint Does Not Plead Insolvency

1. The insolvency allegation is a conclusion

Section 547(b)(3) requires that the debtor was insolvent when the transfer was made. 11 U.S.C. § 547(b)(3). The Code presumes insolvency only for the ninety days before the petition date, 11 U.S.C. § 547(f), and that presumption does not relieve a plaintiff of pleading facts. The Complaint pleads insolvency in a single sentence and identifies no asset value or liability figure.

The Complaint relies on the Debtor's "books" and on a balance sheet "prepared as of the date of the first Transfer." Compl. ¶¶ 2, 12. It does not say what the balance sheet shows, what assets it values or at what amount, or why those values fall below the Debtor's debts. An allegation that the balance sheet "shows liabilities that exceeded the fair value of its assets" is a conclusion. It gives the Court no figure from which to infer insolvency.

2. The Complaint does not plead the chapter 7 test

Section 547(b)(5) requires the trustee to show that the transfer enabled the creditor to receive more than it would have received in a chapter 7 liquidation. 11 U.S.C. § 547(b)(5). The Complaint says that Defendant "received more than it would have received." Compl. ¶ 17. That restates the element. It does not identify what Defendant held as collateral, what the collateral would have realized in a liquidation, or what Defendant would have recovered from it.

The security interest matters here. The Complaint alleges that the facility was "secured by its equipment and receivables." Compl. ¶ 9. A creditor fully secured by collateral worth at least its debt receives no more in a liquidation than the collateral is worth, and a payment of that debt does not prefer it. The Complaint pleads neither the value of the equipment and receivables nor the amount of the debt they secured.

B. The Constructive Fraud Claim Fails

1. The Complaint pleads an exchange for value

Section 548(a)(1)(B) reaches a transfer for less than reasonably equivalent value made while the debtor was insolvent, or that left it insolvent. 11 U.S.C. § 548(a)(1)(B)(i), (ii)(I). The Complaint alleges that Defendant "gave the Debtor no new value." Compl. ¶ 13. But the Code defines value to include the satisfaction of an antecedent debt. 11 U.S.C. § 548(d)(2)(A). The Complaint pleads that each payment satisfied an antecedent debt, and it does not allege that the debt was worth less than the payment.

2. The second claim does not identify the transfers it reaches

The second claim is pleaded in the alternative. It says that "[t]o the extent" a transfer was made for a debt that was not antecedent, it was constructively fraudulent. Compl. ¶ 19. A claim pleaded only in the alternative must still identify the transfers to which it applies. This one does not.

V. Conclusion

The Complaint pleads the elements of a preference claim and of a constructive fraud claim largely as conclusions. Defendant asks the Court to dismiss the Complaint under Fed. R. Civ. P. 12(b)(6), made applicable by Fed. R. Bankr. P. 7012(b), and to grant the following relief:

1. Dismissing the First and Second Claims for Relief;
2. Dismissing the Complaint in its entirety, with leave to amend limited to the matters identified in this Motion; and
3. Granting such other relief as the Court finds just.

Dated: October 14, 2026

Respectfully submitted,

/s/ Riley Example
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Attorneys for Defendant